Roll No. | | | | | | | | **Sign. of Student**

Room No.____________ **Sign. of Invigilator**

END SEMESTER EXAMINATION, MAY/JUNE – 2019

M. B. A

FINANCIAL MANAGEMENT

MBA 202

Time: 3:00 Hrs. **M.M.: 100**

Note: *1. This paper consists of three parts:* ***Part-A, Part-B & Part-C*** *respectively.*

2. ***Part-A*** *is compulsory of* ***30 marks****, having objective/fill in the blanks/true and false/matching type of questions. Time allotted for* ***Part-A*** *is* ***40 minutes****. Student has to answer the question of* ***Part-A*** *on the paper itself.*

3. ***Part-B and Part-C*** *consists of* ***40 marks and 30 marks*** *respectively. Student has to attempt 8 questions from* ***Part-B*** *and 3 questions from* ***Part-C****. Time allotted for* ***Part-B and Part-C*** *is* ***2:20 hours****.*

PART-A

1. Answer the following **30**

A : Indicate True or False: **5 x 1**

(i) The price of a share of common stock acts as a barometer indicating how well management is doing on behalf of shareholders. **True/False**

(ii) For two conventional projects whose cumulative cash flows are identical, the higher the discount rate, the more valuable will be the proposal with the early cash flows. **True/False**

(iii) A firm's overall cost of capital is simply the sum of the firm's cost of equity, cost of debt, and cost of preferred stock. **True/False**

(iv) Companies with high growth rates tend to have high dividend-payout ratios because they want to attract more investors. **True/False**

(v) Generally, a greater margin of safety would be provided by more current assets and fewer current liabilities. **True/False**

B: Fill in the Blanks: **10 x 1**

(i) Profit maximization ignores the ____________________ of money.

(ii) Pay back period method _____________________ the cash flows after pay back period.

(iii) Equity is the __________________________ source of fund.

(iv) Higher __________________________ adjusted discount rate is used in risky capital decisions.

P.T.O.

(v) Higher ____________________leverage means higher break even point.

(vi) A ____________________ more than one means stock is more risky as compared to aggregate market index.

(vii) Dividend per share as a percentage of earnings per share is____________

(viii) An example of ordering cost of inventory is _____________

(ix) A combination of firms engaged in unrelated lines of business activity is called___________

(x) The view that the cost of capital declines with debt, is supported by______________

C : Write short answer of the following questions : **5 x 2**

(i) Basic goal of finance function.

____

____

____

(ii) Sensitivity analysis

____

____

____

(iii) Salient features of retained earnings.

____

____

____

(iv) Bonus Shares

____

____

____

(v) EVA

____

____

____

D. Tick the best alternative: **5 x 1**

(i) For choosing between mutually-exclusive projects with the same lives one needs to compare,

(a) Their Annual Equivalent Values (b) Their Net Present Values

(c) Their Nominal Cash Flows (d) Their Real Cash Flows

(ii) Hurdle rate is also known as

(a) Cost of capital (b) Compound rate

(c) Net present value (d) Time value of money

(iii) The use of the fixed – charges sources of funds, such as debt and preference, capital along with owners equity in the capital structure , is called

(a) Operating leverage (b) Combined leverage

(c) Trading on equity (d) Income coverage

(iv) A method to increase the number of outstanding shares through a proportional reduction in the par value of the share is called:-

(a) Share split (b) Reverse split

(c) Collar (d) Strangle

(v) The minimum level of required current assets is called,

(a) Gross working capital (b) Net working capital

(c) Permanent working capital (d) Variable working capital

END SEMESTER EXAMINATION, MAY/JUNE – 2019

M. B. A

FINANCIAL MANAGEMENT

MBA 202

Time: 3:00 Hrs. **M.M.: 100**

Note: *1. This paper consists of three parts:* ***Part-A, Part-B & Part-C*** *respectively.*

2. ***Part-A*** *is compulsory of* ***30 marks****, having objective/fill in the blanks/true and false/matching type of questions. Time allotted for* ***Part-A*** *is* ***40 minutes****. Student has to answer the question of* ***Part-A*** *on the paper itself.*

3. ***Part-B and Part-C*** *consists of* ***40 marks and 30 marks*** *respectively. Student has to attempt 8 questions from* ***Part-B*** *and 3 questions from* ***Part-C****. Time allotted for* ***Part-B and Part-C*** *is* ***2:20 hours****.*

PART-B

Answer any eight questions from the following: **8 x 5**

2. What is profitability index? Which is a superior ranking criterion, profitability index or the net present value?

3. American Express Limited is setting up a project with a capital outlay of Rs 60,00,000. It is considering the following two alternatives in financing the project cost:-

   Alternative 1. : 100% Equity Finance

   Alternative 2 : Debt/ Equity ratio of 2:1

   The rate of interest payable on the debt is 18% p.a. The corporate tax rate is 40%. Calculate the indifference point between two alternative methods of financing. Assume face value of share Rs10.

4. Describe the traditional view on the optimum capital structure. Compare and contrast this view with the NOI approach and the NI approach.

5. The share capital of a company is Rs.10,00,000 with face value of Rs.10 per share. The company has a debt of Rs.6,00,000 at 10% rate of interest. The sales of the firm are 3,00,000 units per annum at a selling price of Rs5 per unit and the variable cost is Rs 3 per unit . The fixed costs amount to Rs2,00,000. The company pays a tax rate of 35%. If the sales increase by 10% calculate :

   (i) Percentage increase in EPS

   (ii) Degree of operating Leverage at two levels

   (iii) Degree of Financial Leverage at two levels

   (iv) Degree of combined Leverage at two levels

6. Does financial leverage always increase the earnings per share? Illustrate your answer.

7. (i) Dell Ltd has Rs 100 preference shares redeemable at premium of 10% after 15 years. The coupon rate of dividend is 12%. Floatation costs are 5% and shares are issued at discount of 5%. Calculate cost of preference shares.

   (ii) Infosys Ltd has issued 14% irredeemable debentures of Rs 100 each. The cost of floatation of debentures is 2% of total issued amount. The company taxation rate is 30%. Calculate cost of debt.

8. What are the essentials of Gordon’s dividend model? Explain its shortcomings.

9. Explain the CAPM approach?

10. What are the important reasons for mergers and takeovers?

11. Differentiate between NPV & IRR method of capital budgeting?

PART-C

Answer any three questions from the following: **3 x 10**

12. A project involves the total investment in Fixed Assets of Rs400 lakhs. The Fixed working capital commitment of the company was Rs 150 lakhs. The project is expected to yield the following cash inflows:-

Year	**Cash Inflows (Rs in lakhs)**
1	150
2	160
3	170
4	90
5	80
6	20

Assuming the cost of capital of the company to be 10% . You are required to calculate

(i) Net Present value
(ii) Profitability Index
(iii) Pay back period
(iv) Discounted Pay back Period

The P/V Factors at 10% are :- 0.909,0.826,0.751, 0.683, 0.621, 0.565

13. Explain the following in brief (Any Three)

(i) Financial break even point
(ii) Risk-Return trade off
(iii) Factors affecting dividend policy
(iv) Impact of Personal Taxation on Financial Management Decisions
(v) Impact of Corporate Taxation on Financial Management Decisions.

14. The Servokon Company Limited has the following Capital Structure on 31^{st} March 2019

Equity Shares (200000 Shares)	Rs 40,00,000
10% Preference Share Capital	Rs 10,00,000
14% Debentures	Rs 30,00,000
Total	Rs 80,00,000

The shares of the company sell for Rs 20. It is expected that the company will pay next year a dividend of Rs 2 per share, which is expected to grow @ 7% forever. Assume 50% tax rate.

You are required to :-

(i) Compute the weighted average cost of capital on the basis of existing capital structure

(ii) Compute the new weighted average cost of capital if the company raises an additional Rs20 lakh debt by issuing 15% debentures. This would result in increasing the expected dividend to Rs 3 and leaves the growth rate unchanged, but the price of share would fall to Rs 15 per share.

15. What is the concept of working capital cycle? Why is this concept important in working capital management? Give an example to illustrate.

16. The Goodluck Ltd has Rs 8 as earning per share. The rate of capitalization applicable on company is 10%.The internal rate of return on company's investment is 15%. You are required to calculate the market price of the share of company by Walter's approach if the dividend payout ratio is 50%, 75% & 100%.

Roll No. | | | | | | | | **Sign. of Student**

Room No.____________   **Sign. of Invigilator**

END SEMESTER EXAMINATION, MAY/JUNE – 2019

M.B.A.
(2017 Batch)

FINANCIAL MANAGEMENT
MBA 202

Time: 3:00 Hrs. **M.M.: 100**

Note: *1. This paper consists of three parts:* ***Part-A, Part-B & Part-C*** *respectively.*

2. ***Part-A*** *is compulsory of* ***30 marks****, having objective/fill in the blanks/true and false/matching type of questions. Time allotted for* ***Part-A*** *is* ***40 minutes****. Student has to answer the question of* ***Part-A*** *on the paper itself.*

3. ***Part-B and Part-C*** *consists of* ***40 marks and 30 marks*** *respectively. Student has to attempt 8 questions from* ***Part-B*** *and 3 questions from* ***Part-C****. Time allotted for* ***Part-B and Part-C*** *is* ***2:20 hours****.*

PART-A

1. Answer the following **30**

A : Indicate True or False: **5 x 1**

(i) If the discount rate decreases, the present value of a given future amount decreases. **True/False**

(ii) The cost of preferred stock formula is not adjusted for the tax effect because the payment of preferred dividends occurs after taxes are paid. **True/False**

(iii) All other things being the same, if the firm raises funds by selling common stock, it will increase its degree of financial leverage. **True/False**

(iv) Cash dividends and earnings retention have a reciprocal relationship. **True/False**

(v) In leveraged buyouts, very little debt and considerable equity are used to make a cash purchase. **True/False**

B: Fill in the Blanks: **10 x 1**

(i) In risky capital budgeting proposals, the discount rate is not known with _______________.

(ii) Capital budgeting decisions are ________________ in nature.

(iii) Debt capital is the __________________ source of finance.

(iv) Preference share capital does not provide ____________________ shield.

P.T.O.

(v) Increasing the debt contents in capital structure reduce cost of capital is ________________ approach.

(vi) If ROI> Cost of Debt the financial leverage works ___________

(vii) Excess working capital will lead to __________________ profits.

(viii) Level of EBIT at which EPS is same in two financial plans is called____________ point.

(ix) Taxability of dividend affects the __________________ ratio.

(x) Systematic risk is ____________________ in nature.

C : Write short answer of the following questions : **5 x 2**

(i) Time value of money

____

____

____

(ii) Capital rationing

____

____

____

(iii) Inventory Management

____

____

____

(iv) Financial break even point

____

____

____

(v) Indifference point

D. Tick the best alternative: **5 x 1**

(i) Cost of capital is useful as a standard for –

(a) Designing a firm's debt policy (b) Evaluating investment decisions

(c) Appraising the financial performance of top management (d) All of the above

(ii) The financial leverage will have a favorable impact on EPS and ROE only when the firm's –

(a) ROI = *i* (b) ROI > *i*

(c) ROI < *i* (d) None of the above

(iii) Select the option that is not an example of carrying costs –

(a) Warehousing (b) Handling

(c) Clerical and staff (d) Transportation

(iv) A DCF technique that takes into account of the magnitude and timing of cash flows is called:-

(a) Net present value (b) Internal rate of return

(c) Profitability index (d) Accounting rate of return

(v) A situation when the management has to decide to obtain that combination of the profitable projects which yields highest NPV within the available funds is called:-

(a) Dividend decision (b) Capital rationing

(c) Capital recovery (d) Risk diversification

END SEMESTER EXAMINATION, MAY/JUNE – 2019

M.B.A.

(2017 Batch)

FINANCIAL MANAGEMENT

MBA 202

Time: 3:00 Hrs. **M.M.: 100**

Note: *1. This paper consists of three parts:* ***Part-A, Part-B & Part-C*** *respectively.*

2. ***Part-A*** *is compulsory of* ***30 marks****, having objective/fill in the blanks/true and false/matching type of questions. Time allotted for* ***Part-A*** *is* ***40 minutes****. Student has to answer the question of* ***Part-A*** *on the paper itself.*

3. ***Part-B and Part-C*** *consists of* ***40 marks and 30 marks*** *respectively. Student has to attempt 8 questions from* ***Part-B*** *and 3 questions from* ***Part-C****. Time allotted for* ***Part-B and Part-C*** *is* ***2:20 hours****.*

PART-B

Answer any eight questions from the following: **8 x 5**

2. ‘The basic rationale for the objective of wealth maximization is that it reflects the most efficient use of society's economic resources and thus leads to a maximization of society's economic wealth’ (Ezra Solomon). Comment critically**.**

3. AB ltd estimates the cost of equity and debt components of its capital for different levels of debt: equity mix as follows:-

Debt as % of total Capital Employed	**Cost of Equity%**	**Cost of Debt % (Before Tax)**
0	16	12
20	16	12
40	20	16
60	24	20

Suggest the best debt equity mix for the company. Tax rate applicable is 50%. Working should form part of answer.

4. What are the mutually exclusive projects? Explain the conditions when conflicting ranking would be given by the internal rate of return and net present value methods to such projects?

5. Comment on the following combinations of the Operating , Financial & Combined Leverages

Type of leverage		**CASE 2**	**CASE 3**	**CASE 4**
Operating	High	Low	High	Low
Financial	High	High	Low	Low
Combined	High	Moderate	Moderate	Low

6. What are the various concepts of cost of capital? Why should they be distinguished in financial management?

P.T.O.

7. Explain the features of different sources of long term finance in brief? Also explain the implication of these features on capital structure.

8. What is financial risk? How does it differ from business risk? How does the use of financial leverage result in increased financial risk?

9. (a) The equity of Mercury Ltd are traded in the market at Rs.90 each.The expected current year dividend is Rs 18 per share. The subsequent growth in the dividend is expected at the rate of 6%. Calculate the cost of equity capital.

   (b) Vishnu steels has issued 14% irredeemable debentures of Rs 150 each. The cost of floatation of debentures is 5% of total issued amount. The company taxation rate is 40%. Calculate cost of debt.

10. Explain the nature of the factors which influence the dividend policy of a firm.

11. Write short notes (Any Three)

   (a) Tax Shield
   (b) Certainty Equivalent approach
   (c) Risk adjusted discount rate
   (d) Working capital cycle

PART-C

Answer any three questions from the following: 3 x 10

12. Silicon Limited has spent four years in R&D for developing a new silicon chip. It is now faced with three mutually exclusive choices :-

<u>Choice 1:-</u> It can manufacture the chip itself , the plant will cost Rs 50 lakh. This will be spent at the beginning of the project. Additional working capital of Rs 21 lakh will be required when production commences. The Sales and selling price are expected to be as follows:-

	Year 1	Year 2	Year 3	Year 4	Year 5
No. of Units	100,000	100,000	100,000	80000	80000
Sale Price per Unit	120	120	120	100	90

Silicon usually depreciates a plant of this type over five years, using straight line method and assumes a zero scrap value. The variable costs are expected to be Rs 65 per unit and fixed costs including depreciation Rs 20 lakh per year.

<u>Choice 2:-</u> Sell the know-how to a major international firm for a single payment of Rs 31 lakhs in one single go.

<u>Choice 3:-</u> Sell the know-how for a royalty of Rs 10 per unit receivable at the end of the each year. Anticipated sales of the chip would be as shown above.

If the choice no 2 or 3 are, taken the company shall not manufacture the chip itself. Silicon's weighted average cost of capital is 12%. You should assume that the sales revenue and cost occur at the end of the year. Ignore the taxation You are required:-

The cash flows relevant to a decision whether or not to manufacture the chips.

Calculate the NPV & PI for each of the options

What other factors should also be taken before a decision is made? What would be your decision

The present value factors @ 12 % are 0.89,0.80,0.71,0.64 & 0.57

13. **Elements of cost** **Amount (per unit)**

Elements of cost	**Amount (per unit)**
Raw material	70
Labour	20
Overhead	50
Total	140
Profit	20
Selling Price	160

The following further particulars are available:

Raw material are in stock for 1 month

Work in progress are on a average of ½ month

Finished goods are in stock on an average for 1 month

Credit allowed by supplies is 2 months

Credit allowed to customer is 2 months

Lag in payment of wages is 2½ weeks.

Lag in payment of overhead is 1 month

¼ of the output is sold against cash

Cash in hand is expected to be Rs. 30,000

You are required to prepare a statement showing working capital needed to finance a level of activity of 104000 units of production? Assume the production is carried on evenly throughout the year, wages & overhead accrue similarly and a time period of 4 weeks is equivalent to a month.

14. Explain the assumptions and implications of the NI approach and the NOI approach. Illustrate your answer with hypothetical examples.

15. The following is the data relating to two companies 'A' & 'B' belonging to same risk class:

	Company A	**Company B**
Number Of Ordinary Shares	100000	150000
8% Debentures	50000	---------
Market Price Per Share	Rs 1.30	Rs.1.00
Profit Before Interest	Rs.20000	Rs20000

All Profit after paying debenture interest are distributed as dividends.

You are required to explain how under Modigilani & Miller Approach an investor holding 10% of shares in company A ,will be better off in switching his holding to company B.

16. What are the advantages of risk-adjusted discount rate? What is the major problem in using this approach to handle risk in capital budgeting?